Q14

- Relevance can only be judged in the context of the decisions that are to be based on the figures [1]

- Cost less depreciation will not necessarily offer even a rough estimate of the market value of an asset and so it will be little help in, say, informing a lender's decision about asset values as collateral [1]
- Similarly, knowing the book value will be of little help in deciding whether to retain an asset or sell it on the open market or scrap an asset rather than repairing it [1]
- The issues affecting property may differ from those involving plant and equipment because property tends to have a longer life. Valuing a building at cost less depreciation could result in a figure that is so badly out of date that it has very little relevance [1]
- The book value may not reflect the market value or economic value of the assets, but it does enable some allowance to be made for the availability of assets when calculating ratios [1]
- Comparing, say, ROCE for two companies in the same industry will be aided by the inclusion of book values because the figures will, at least, reflect the scale of the respective companies' investments [1]

[6, Max 5]

This question was also done badly by many candidates.
Candidates did not understand relevance and reliability and where they did they failed to make any link to assets.
This question required some knowledge of financial reporting and few candidates demonstrated this in their answers.